

September 18, 2025

CALIFORNIA DEPARTMENT OF SOCIAL SERVICES

EXECUTIVE SUMMARY

ALL COUNTY LETTER NO. 25-68

The purpose of this All County Letter is to provide County Welfare Departments with guidance regarding the Food and Nutrition Service published Final Rule, Supplemental Nutrition Assistance Program: Standardization of Heating and Cooling Standard Utility Allowances. This letter also provides guidance on changes to eligibility criteria for the State Utility Assistance Subsidy as a result of the codification of House of Representatives 1, An Act to provide for reconciliation pursuant to title II of H. Con. Res. 14. on July 4, 2025.



JENNIFER TROIA
DIRECTOR

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DEPARTMENT OF SOCIAL SERVICES
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GAVIN NEWSOM
GOVERNOR

September 18, 2025

ALL COUNTY LETTER NO. 25-68

TO: ALL COUNTY WELFARE DIRECTORS
ALL CALFRESH PROGRAM SPECIALISTS
ALL CONSORTIA PROJECT MANAGERS
ALL QUALITY CONTROL PROGRAM COORDINATORS

SUBJECT: **CALFRESH IMPLEMENTATION OF THE STANDARD UTILITY ALLOWANCES FINAL RULE AND LIMITATIONS ON WHO CAN RECEIVE THE STATE UTILITY ASSISTANCE SUBSIDY PAYMENT**

REFERENCE: [7 UNITED STATES CODE \(U.S.C.\) 2014\(e\)\(6\)\(C\)\(iv\)\(I\);](#)
[TITLE 7 CODE OF FEDERAL REGULATIONS \(CFR\) 271.2;](#)
[7 CFR 273.9\(c\)\(1\)\(vii\); 7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(3\)\(i\);](#)
[7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(3\)\(ii\); 7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(3\)\(iii\);](#)
[7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(3\)\(iv\); 7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(3\)\(v\);](#)
[7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(3\)\(vi\); 7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(3\)\(vii\);](#)
[7 CFR 273.9\(d\)\(6\)\(iii\); 7 CFR 273.9\(d\)\(6\)\(iii\)\(C\);](#)
[7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(1\); 7 CFR 273.9\(d\)\(6\)\(iii\)\(G\)\(2\);](#)
[7 CFR 273.10\(d\)\(6\);](#)
[FINAL RULE, SUPPLEMENTAL NUTRITION ASSISTANCE PROGRAM \(SNAP\): STANDARDIZATION OF HEATING AND COOLING STANDARD UTILITY ALLOWANCES;](#)
[UNITED STATES DEPARTMENT OF AGRICULTURE \(USDA\) FOOD AND NUTRITION SERVICE \(FNS\) MEMO – SNAP IMPLEMENTATION OF REGULATORY CHANGES TO STANDARD UTILITY ALLOWANCES;](#)
[HOUSE OF REPRESENTATIVES 1 \(PUBLIC LAW 119-21\);](#)
[USDA FNS MEMO – SNAP IMPLEMENTATION OF TREATMENT OF ENERGY ASSISTANCE PAYMENTS;](#)
[WELFARE AND INSTITUTIONS CODE \(WIC\)18901.2;](#)
[MANUAL OF POLICIES AND PROCEDURES \(MPP\) 63-504.39;](#)
[MPP 63-801.7; ALL COUNTY LETTER \(ACL\) NO. 14-66;](#)
[ACL NO. 14-54; ACIN I-46-25](#)

The purpose of this All County Letter (ACL) is to provide County Welfare Departments (CWDs) with guidance regarding the Food and Nutrition Service (FNS) published [Final Rule, Supplemental Nutrition Assistance Program \(SNAP\): Standardization of Heating and Cooling Standard Utility Allowances](#). This letter also provides guidance on changes to household eligibility criteria for the State Utility Assistance Subsidy (SUAS) as a result of the enactment of House of Representatives 1, An Act to provide for reconciliation pursuant to title II of H. Con. Res. 14. (the Act) ([Public Law 119-21](#)) on July 4, 2025.

BACKGROUND

On November 18, 2024, FNS published the Final Rule, *SNAP: Standardization of Heating and Cooling Standard Utility Allowances*. This rule amended regulations for calculating the standard utility allowances, including the heating and cooling standard utility allowance (SUA), limited utility allowance (LUA), and telephone utility allowance (TUA). Additionally, it updated the treatment of payments under the [Low-Income Home Energy Assistance Act of 1981](#), commonly known as the Low Income Home Energy Assistance Program (LIHEAP) or other similar energy assistance program payments. In California, the SUAS program is used to provide energy assistance payments to CalFresh households. For more information on SUAS, refer to [ACL No. 14-66](#), issued September 14, 2014.

On July 4, 2025, President Trump signed the Act into law, which limits the SUAS to households with elderly or disabled members, and excludes the cost of basic internet expense when determining the SUA.

FINAL RULE – STANDARDIZATION OF HEATING AND COOLING UTILITY ALLOWANCES

Standard Utility Allowance Methodology Update

The Final Rule required States to update the SUA methodology to align with [7 CFR 273.9\(d\)\(6\)\(iii\)\(C\)](#) and expanded allowable shelter expenses to include basic internet costs. The amended regulations became effective on January 17, 2025, and States were required to ensure SUA value compliance by October 1, 2025, along with other annual utility deduction updates.

However, [Section 10104 \(7 U.S.C. section 2014\)](#) of the Act now prohibits basic internet costs from being included in the calculation of SUA or qualification for LUA.

The California Department of Social Services (CDSS) has submitted and FNS has approved a SUA methodology for Federal Fiscal Year (FFY) 2026 that is compliant with the Act, and which does not include basic internet costs. The new deduction amounts for SUA, LUA, and TUA was released with the annual Cost-of-Living Adjustments on September 3, 2025 in [ACIN I-46-25](#).

SUA Eligibility

The Final Rule implemented two provisions related to household eligibility to receive the SUA deduction. California is compliant with these provisions.

No CWD action required.

Minimal Expenses – [7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(1\)](#)

The State is required to provide the SUA to all households that incur heating and cooling expenses, even if the costs are minimal.

Public Housing Residents – [7 CFR 273.9\(d\)\(6\)\(iii\)\(G\)\(2\)](#)

States previously had the option to include excess heating and cooling costs of public housing residents in the LUA. The State is now required to provide the SUA to all households that incur heating and cooling expenses, even if the costs are minimal.

SUAS Eligibility

The Final Rule implemented a series of provisions related to household eligibility for the LIHEAP or a similar energy assistance program, known as SUAS in California. Current California policy is aligned with all but one of these requirements related to the treatment of weatherization payments received by a landlord on behalf of a CalFresh household.

Other Similar Energy Assistance Program – [7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(3\)\(i\)](#)

No CWD action required.

Receipt of a payment of more than \$20 under the LIHEAP or a similar energy assistance program make a CalFresh household eligible for the SUA. A similar energy assistance program is defined as a program designed to provide heating or cooling assistance through payments directly to or on behalf of low-income households. This assistance must be separate from a household's rent or mortgage, home energy bills, weatherization, or energy-related minor home repairs. The SUAS qualifies as a similar energy assistance program.

Quantifiable – [7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(3\)\(ii\)](#)

No CWD action required.

The State may opt to consider in-kind assistance as a qualifying payment for the purpose of making a CalFresh household eligible for the SUA if the assistance can be reasonably quantified. California is not opting to treat in-kind assistance as a qualifying payment.

Tracking and Documentation – [7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(3\)\(iii\)](#)

No CWD action required.

The State is required to document the date and receipt of a SUAS payment to ensure the payment was received in the current month or the immediately preceding 12 months and exceeds \$20 annually. Currently SUAS issuances are automatically recorded in the California Statewide Automation System (CalSAWS), including the date and receipt.

Current Month – [7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(3\)\(iv\)](#)

No CWD action required.

The SUA cannot be conferred based on the anticipated receipt of a qualifying payment, unless the household is scheduled to receive the payment in the current month. Current SUAS automation in CalSAWS is aligned with this requirement.

Overissuance – [7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(3\)\(v\)](#)

No CWD action required.

If a qualifying energy assistance payment is scheduled to be received in the current month and the payment is not made within that month, the State must assess whether an overissuance (OI) has occurred. CalSAWS issues the SUAS payment in the current month, allowing the household to claim the SUA without risk of an OI occurring for this reason.

Moving and Split Households – [7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(3\)\(vi\)](#)

No CWD action required.

Households who receive a SUAS payment and then change address or split into multiple households must maintain SUA eligibility. Current SUAS automation in CalSAWS is aligned with this requirement.

Weatherization – [7 CFR 273.9\(d\)\(6\)\(iii\)\(D\)\(3\)\(vii\)](#)

CWD action required.

A household that includes an elderly or disabled member is eligible for the SUA if they live in a multi-unit or individual unit dwelling and receive a qualifying weatherization program payment. Weatherization programs increase a home's energy efficiency, lower energy costs, and make homes healthier and safer. See the Department of Energy's [Weatherization Assistance Program](#) for details. A weatherization payment must be greater than \$20.00 and received in the current month or immediately preceding 12 months to qualify. Qualifying weatherization payments made to the landlord of a multi-unit dwelling are considered a payment made on behalf of the household and qualify residing CalFresh households for the SUA.

To determine whether a weatherization payment made to a landlord or building manager of a multi-unit dwelling confers eligibility, the CWD should divide the total value of the weatherization payment by the number of units in the multi-unit dwelling. If the resulting amount is greater than \$20.00, it is a qualifying weatherization payment.

Proration – [7 CFR 273.10\(d\)\(6\)](#)

No CWD action required.

Receiving a prorated qualifying energy assistance payment qualifies a household for more than one heating or cooling season, given the payment was received within the last 12 months, or the proration period covered at least one month in the preceding 12 months.

PROVISIONS OF THE ACT THAT IMPACT SUAS

Availability of SUA Based on Receipt of Energy Assistance

The Act amends how states treat receipt of a payment under the LIHEAP or other similar energy assistance program, including the SUAS.

Treatment of Energy Assistance Payments Made Under State Law

Effective upon completion of automation, payments made under a state law to provide energy assistance to a household without an elderly or disabled member must be considered money payable directly to the household. Payments made under a state law to provide energy assistance to a household with an elderly or disabled member must be considered an out-of-pocket expense incurred and paid by the household. Therefore, the SUAS payment will continue to be excluded from consideration as income.

As a reminder, third-party payments that are not owed to the household, such as California Arrearages Payment Program (CAPP) payments, are excluded from income for CalFresh per [7 CFR 273.9\(c\)\(1\)\(vii\)](#).

Limitation of SUAS

Effective upon completion of automation, only households with an elderly or disabled member which receive a payment of \$20 or more through LIHEAP or SUAS in the month of application or the preceding 12 months, are automatically eligible to claim the SUA when determining household eligibility and benefit amount.

The Act amends language in [7 U.S.C. 2014\(e\)\(6\)\(C\)\(iv\)\(I\)](#) to state that: “if a State agency elects to use a standard utility allowance that reflects heating and cooling costs, the standard utility allowance must be made available to households with an elderly or disabled member that received a payment, or on behalf of which a payment was made, under the Low-Income Home Energy Assistance Act of 1981 (42 U.S.C. 8621 et seq.) or other similar energy assistance program, if in the current month or in the immediately preceding 12 months, the household either received such a payment, or such a payment was made on behalf of the household, that was greater than \$20 annually, as determined by the Secretary.” As defined at [7 CFR 271.2](#), households with an elderly or disabled member include those with at least one individual who is 60 years of age or older and/or disabled and/or receives a disability-based benefit. There is no age requirement to qualify as disabled. A CalFresh household that includes an elderly or disabled member who is excluded or ineligible for CalFresh qualifies the household for a SUAS payment, if otherwise eligible.

As a result of this change, CDSS must update guidance regarding the eligibility criteria for SUAS payments.

New SUAS Guidance

SUAS payments will be limited to households who meet the following criteria:

- Are not otherwise eligible for the SUA,
- Are not already receiving the maximum CalFresh allotment for their household size, and
- **Contain an elderly or disabled household member.**

There is no change to the receipt of the Homeless Shelter Deduction instead of the SUAS payment/SUA expense; CalFresh households which meet the new criteria listed above may continue to receive the Homeless Shelter Deduction if it will result in a higher benefit amount than the SUA deduction. As a reminder, a CalFresh household cannot receive both the Homeless Shelter Deduction and SUA.

Implementation and Automation of SUAS Changes

Effective upon the completion of automation, the new SUAS guidance must be applied to applicants at initial certification. For ongoing cases, household circumstances must be reviewed, and the new SUAS guidance must be applied at the household's next recertification. Households no longer eligible for SUAS must be evaluated for utility deductions, including SUA, LUA, and TUA, that they may be entitled to.

The CWD must not remove an ongoing household's eligibility for SUA during the certification period based solely on the information that the household does not contain an elderly or disabled member, regardless of the source of information. Even if the sole elderly or disabled household member is removed from the household, the SUA deduction must remain. However, if the CWD receives information during the certification period that the household has begun incurring heating or cooling costs, the change should be made to the case. The household's verbal statement is sufficient to verify utility expenses unless questionable. The CWD must not send a mid-period Request for Verification (CW 2200) for utility verification for the purpose of making this change.

SUAS Informing Notice

The CF 1 provides SUAS-eligible households with information regarding the SUAS payment provided to their Electronic Benefit Transfer (EBT) account. CDSS has revised the CF 1 to contain updated SUAS eligibility criteria and is included as an attachment to this letter.

In accordance with [MPP Section 63-504.39](#), the CWD must inform all impacted CalFresh households as soon as possible of the new CalFresh SUAS eligibility criteria. The CWD may opt to use the CF 1 or can notify households via other mass noticing practices, such as disseminating information through news or other media outlets, using social media, county websites, posters in lobbies or other locations frequented by CalFresh households.

Quality Control

FNS will hold States harmless for Quality Control (QC) purposes for 120 days from the implementation date of July 4, 2025. A 120-day variance exclusion is permitted for the misapplication of changes in Section 10103 of the Act to new and ongoing SNAP households until the exclusionary period end date on November 1, 2025.

QC must apply the verification standards and procedures specified in the [SNAP Quality Control Review Handbook 310](#). QC will verify all circumstances, regardless of whether information is questionable, when conducting QC reviews.

CWDs are reminded that the case record must provide sufficient documentation to support the benefit level determination. Documentation must provide enough detail to permit a reviewer with no prior knowledge of the individual case to independently determine the accuracy of benefit allotments.

COPIES AND TRANSLATIONS

Forms referenced in this letter are available on the [CDSS Forms/Brochures webpage](#). When CDSS completes translations of a form, they are posted on the [Translated Forms and Publications webpage](#). When made available by CDSS, forms translated into an individual's preferred language must be provided to the individual pursuant to [MPP Section 21-115.2](#). For questions on translated materials, please contact the Translation Services Section at its@dss.ca.gov. If translations are not available, recipients who have elected to receive materials in languages other than English should be sent the English version of the form or notice along with the [GEN 1365-Notice of Language Services](#) and a local contact number. See [ACL No. 22-56](#).

Per [MPP Section 21-115](#), the County Welfare Departments (CWDs) must ensure effective bilingual services are provided. This requirement may be met through utilization of paid interpreters, qualified bilingual employees, and qualified employees of other agencies or community resources. These services must be provided, free of charge, to the applicant/recipient. If CDSS does not provide translations of a form, it is the county's responsibility to read and interpret the form if an applicant or recipient requests it. See [ACL No. 22-56](#).

Additionally, the CWDs must provide auxiliary aids and services to persons with vision, hearing, or speech disabilities, where applicable. More information regarding provisions for services to applicants and recipients who have limited English proficiency or who have disabilities can be found in [MPP Section 21-115](#) and [ACL No. 19-45](#).

CONTACT INFORMATION

If you have any questions or need additional guidance regarding the information in this letter, contact the CalFresh Policy Bureau at CalFreshPolicy@dss.ca.gov.

Sincerely,

Original Document Signed By

ALEXIS FERNÁNDEZ GARCIA
Deputy Director
Family Engagement and Empowerment Division

Attachment

NOTICE TO CALFRESH RECIPIENTS

IMPORTANT – PLEASE READ

Your household is eligible for a State Utility Assistance Subsidy (SUAS) payment. The SUAS is an annual payment of \$20.01 that will be put on your cash Electronic Benefit Transfer (EBT) account. The SUAS can be used for food or cash purchases. If you do not currently have a cash EBT account, one has been set up for you. This payment allows the county to use the highest utility deduction (Standard Utility Allowance – SUA) for food benefits. If you no longer are an eligible household (per information below), you will not get the \$20.01 SUAS payment. If you want to know more, call your county.

This payment is only given once a year. Only certain CalFresh households can get a SUAS payment. Households that will get this benefit are those that:

- contain an elderly member and/or member with a disability,
- do not have utility bills separate from rent/mortgage,
- are not already getting the maximum CalFresh benefit for their household size, and
- are not already receiving an increased benefit due to the Homeless Shelter Deduction.



Follow these tips to increase your energy savings at home:

- Weatherstrip around windows and doors
- Wrap your water heater with insulation or install an insulating blanket
- Set the water heater thermostat at 140 degrees or “normal” if you have a dishwasher. Otherwise, set it at 120 degrees or “low.” Check your dishwasher to see if you can use 120 degree water.
- Replace incandescent bulbs with compact fluorescent lamps – they use 75% less energy and last 10 times longer
- Clean or replace your furnace and air-conditioner filters regularly
- Set the furnace thermostat at 68 degrees or lower, and the air-conditioner thermostat at 78 degrees or higher, health permitting. 3 percent to 5 percent more energy is used for each degree the furnace is set above 68 degrees and for each degree the air conditioner is set below 78 degrees
- Repair leaking plumbing and dripping faucets
- Close your shades on windows facing south and/or west to block summer light. In winter, open shades on sunny days to help warm rooms.
- Defrost frozen food in the refrigerator before cooking
- Use the oven light to check on progress when cooking or baking instead of opening the door
- Set the refrigerator temperature at 36° to 39° F and freezer at 0° to 5° F
- Turn off lights, televisions and other appliances when not in use
- Unplug computer or other devices that may be running even when off